CASE STUDY

Maximizing DTC Success

A diversified media mix drives DTC growth while leveraging established marketplace presence for NapQueen

adtaxi

NapQueen, a prominent mattress company, established its reputation on major marketplaces such as Amazon and Walmart. In 2023, NapQueen embarked on a new journey to expand its Direct-to-Consumer (DTC) presence with the launch of its own Shopify site. While the company already enjoyed substantial marketplace revenue, it faced several challenges in building brand awareness outside these platforms and aligning its marketing strategies across different channels. NapQueen partnered with Adtaxi, a digital advertising agency, and Anarix, an AI-driven marketplace optimization platform for retailers, to implement a comprehensive and blended media strategy.

Through a blended media mix of Paid Search, Shopping, Social Media, and Programmatic channels (Native, Display, CTV), NapQueen successfully mitigated the risks associated with over-reliance on individual platforms. Testing into each of the channels with reasonable budgets has allowed NapQueen to scale in channels that perform best.

This strategy not only increased brand visibility but also significantly reduced customer acquisition costs (CAC) and boosted overall return on ad spend (ROAS).

To assess the impact of DTC advertising beyond the marketplace, NapQueen utilized Anarix's sophisticated data tools. This integration combined DTC purchase data with Amazon Marketing Cloud (AMC) data, providing a comprehensive understanding of customer behavior across various channels.

By May 2024, after nine months of rigorous testing and optimization, NapQueen achieved remarkable results, including a 1257% year-over-year growth in DTC revenue and a substantial improvement in profitability.

CHALLENGES

Building brand awareness and sales outside established marketplaces

Reducing customer acquisition costs for DTC channel

Aligning DTC and marketplace marketing strategies and impacts across all channels

SOLUTIONS

Implementing a blended media mix to mitigate risk and increase visibility

Diversifying media channels to reduce customer acquisition costs and enhance reach

Validating DTC paid advertising through the Anarix AMC data tool

RESULTS

1257%
YOY Growth in DTC Revenue

-$936
Reduction in CAC

Anarix AMC tool identified a symbiotic relationship between Amazon and Shopify customers

A Diversified Approach

When NapQueen ventured into the Direct-to-Consumer market with their Shopify site, they faced significant challenges. The first was building brand awareness outside established marketplaces like Amazon and Walmart. To tackle this, NapQueen and Adtaxi implemented a blended media mix across Meta, Google/Bing, and Programmatic Ads (mention the products here). This diversified approach increased brand visibility and mitigated the risk of over-reliance on any single platform.

Managing Costs

The second challenge was reducing customer acquisition costs (CAC). NapQueen needed a cost-effective strategy to attract new customers while maintaining profitability. By leveraging a diversified media strategy, they broadened their reach and optimized ad spend, reducing blended CAC from $1009.67 in July 2023 to $74 in May 2024.

Strategy Alignment

Lastly, NapQueen needed to align their DTC and marketplace marketing strategies. Anarix's data tool merged DTC purchase data with Amazon Marketing Cloud (AMC) data, providing insights into cross-channel ad influence. This revealed that 53% of Shopify customers had prior exposure to NapQueen's brand via Amazon ads, with 10% making subsequent purchases on Amazon, highlighting the synergy between the two channels.



Key Insights

NapQueen's strategic blend of media channels and continuous optimization have led to substantial DTC growth and profitability, offering valuable lessons for marketing executives and brand owners aiming to expand their cross-channel marketing efforts.

Already driving substantial marketplace revenue, since starting with DTC NapQueen found it has a hard time connecting the dots on the impact Amazon and DTC impressions/visits had on each other. In order to address this challenge, NapQueen worked with Anarix to utilize Shopify data in conjunction with AMC data and determined substantial consumer cross-pollination between Amazon and Shopify, both in impressions served on ads and for purchase behavior. Amazon impressions drive Shopify sales, DTC paid ad impressions drive Amazon sales. Consumers are also not exclusively purchasing from Amazon or DTC alone; over 2% of Shopify customers make purchases on both Amazon and Shopify.

Key Performance Metrics

Significant Growth and Cost Efficiency: NapQueen achieved a 1257% YOY growth in DTC revenue from April 2023 to April 2024, and a 669% increase from May 2023 to May 2024. By refining their diversified media strategy, NapQueen reduced CAC from $1009.67 in July 2023 to $74 in May 2024, demonstrating the efficiency of their media mix.

Conversion Rate Improvements: Through collaboration with Adtaxi, NapQueen improved conversion rates significantly. Google Analytics showed an increase from 0.35% to 1.67% (377% increase), and Google Ads conversion rates surged from 1.08% to 10.53% (875% increase). These improvements were driven by UX feedback, homepage and checkout optimizations, and social proof influencer videos.

Enhanced ROAS: NapQueen increased their ROAS from 0.28x to 3x within nine months, showcasing the effectiveness of their diversified media strategy and data-driven approach.

Customer Behavior and Conversion Optimization: Through Anarix's AMC solutions, NapQueen discovered that 2.2% of Shopify purchasers bought products on both Amazon and Shopify, and 12.8% of abandoned Shopify carts later converted into Amazon purchases. This highlighted the need for effective retargeting strategies across platforms.

Cross-Channel Impact: NapQueen's integrated marketing efforts revealed that 71% of Shopify purchasers had seen NapQueen ads on Amazon before buying, thanks to AMC. This synergy underscores the importance of cohesive cross-channel strategies to drive conversions.